

product are offered to customers at the same time. By observing the changes in behavior between the two groups, one can make inferences about the impact of the different variations. This technique was pioneered by direct mail advertisers. For example, consider a company that sends customers a catalog of products to buy, such as Lands' End or Crate & Barrel. If you wanted to test a catalog design, you could send a new version of it to 50 percent of the customers and send the old standard catalog to the other 50 percent. To assure a scientific result, both catalogs would contain identical products; the only difference would be the changes to the design. To figure out if the new design was effective, all you would have to do was keep track of the sales figures for both groups of customers. (This technique is sometimes called A/B testing after the practice of assigning letter names to each variation.) Although split testing often is thought of as a marketing-specific (or even a direct marketing-specific) practice, Lean Startups incorporate it directly into product development.

These changes led to an immediate change in Farb's understanding of the business. Split testing often uncovers surprising things. For example, many features that make the product better in the eyes of engineers and designers have no impact on customer behavior. This was the case at Grockit, as it has been in every company I have seen adopt this technique. Although working with split tests seems to be more difficult because it requires extra accounting and metrics to keep track of each variation, it almost always saves tremendous amounts of time in the long run by eliminating work that doesn't matter to customers.

Split testing also helps teams refine their understanding of what customers want and don't want. Grockit's team constantly added new ways for their customers to interact with each other in the hope that those social communication tools would increase the product's value. Inherent in those efforts was the belief that customers desired more communication during their studying. When split testing revealed that the extra features did not change customer behavior, it called that belief into question.

The questioning inspired the team to seek a deeper